# A simplified unified propagator model for signed order flow, concave price impact and rough volatility

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**Abstract**

In this note, we simplify the setup in [MORS26] by modelling persistent signed order flow as the difference of two integrated hyper-rough Heston processes with Hölder exponent in $(\frac{1}{2},1)$, which endogenously determines a (pure feedback) price process $P$, the price impact kernel for the propagator equation, and the celebrated square root law in the $H\to 0$ limit. This obviates the need to use nearly unstable heavy-tailed Hawkes processes, and lengthy macroscopic scaling limit arguments with $C$-tightness as in [MORS26]. We later discuss addition of proportional bid-ask spreads and exogenous choice of price impact kernel, so $P$ is no longer a martingale in general but the model is still arbitrage-free if $P$ satisfies the conditional full support property (cf. [GRS08]). We also show how to incorporate longer memory/multiscale behaviour, and propose a simpler model where signed order flow is a Gaussian Volterra process with Hurst exponent in $(\frac{1}{2},1)$.

## 1.1 Persistent order flow

Stationary version of the model, power law decay for acf?

Following [AJ21] (and similar to Theorem 3.1 in [MORS26]), we model the cumulative positive order flow $F_t^+$ for an asset (i.e. the total number of shares bought by time $t$) as a weak solution to the Stochastic Volterra Equation:

$$F_t^+ \quad = \quad g(t) + \int_0^t f(t-s)M_s ds \tag{1}$$

where $M$ is a continuous local martingale with $M_0=0$ and $[M]_t = F_t^+$ for $t\geq 0$, $f(t)=e^{-\theta t}t^{H-\frac{1}{2}}$ with $H\in(-\frac{1}{4},0)$, $\theta>0$ so $f\in L^1$, and $g(t)=V_0 t$ for some $V_0>0$ (note $\theta$ replaces the ergodicity parameter $\lambda$ in Theorem 3.1 in [MORS26]). Weak existence and uniqueness for (1) is established in section 2 of [AJ21], and $F^+$ is a non-decreasing, nonnegative, continuous and adapted process. $F_t^+$ is also a.s. $(2\alpha-\varepsilon)\wedge 1$-Hölder continuous where $\alpha = H+\frac{1}{2}$ (see e.g. Theorem 3.1 in [JR20] for details), so from the condition on $H$ we see that $2\alpha\in(\frac{1}{2},1)$ [1], and $F_t^+$ is non-differentiable if $H\leq 0$. Note that if $H>0$, $F^+$ is just the integrated variance $\int_0^t V_s ds$ for a standard (i.e. non-hyper) Rough-Heston type variance process $V$, see e.g. section 5.4 of [FGS21] for details.

**Lemma 1.1** $\mathbb{E}(F_t^+)<\infty$.

**Proof.** See Appendix A. ■

**Corollary 1.2** *Assume $(F^+,M)$ is a weak solution of (1) in the sense of [AJ21], with $b=0$, $c=1$ and $\nu\equiv 0$. Then $M$ is a continuous square-integrable martingale.*

**Proof.** See Appendix B. ■

## 1.2 The inversion formula

If $h$ is a function with $h*f\equiv 1$, then we have the inversion formula:

$$\begin{aligned}\int_0^t h(t-s)(F_s^+ - g(s))ds \quad &= \quad \int_0^t h(t-s)\int_0^s f(s-u)M_u du ds \quad = \quad \int_0^t\int_u^t h(t-s)f(s-u)ds\, M_u du \\ &= \quad \int_0^t\int_0^{t-u} h(t-s-u)f(s)ds\, M_u du \\ &= \quad \int_0^t (h*f)(t-u)M_u du \quad = \quad \int_0^t M_u du\end{aligned}$$

(where Fubini is justified since $F_t^+<\infty$ a.s. for finite $t$ and $M$ is continuous), and hence

$$M_t \quad = \quad \frac{d}{dt}\int_0^t h(t-s)(F_s^+ - g(s))ds \quad = \quad \frac{d}{dt}\int_0^t h(t-s)F_s^+ ds - \frac{d}{dt}\int_0^t h(t-s)g(s)ds \tag{2}$$

[1] we can simulate $F^+$ using the Monte Carlo scheme in [AA25] using Normal Inverse Gaussian variates

Lebesgue a.e., where the final equality holds since $\int_0^t h(t-s)(F_s^+ - g(s))ds$ and $\int_0^t h(t-s)g(s)ds$ are both absolutely continuous, and hence so is their sum. Moreover, setting $H(t) = \int_0^t h(s)ds$, integrating by parts we see that

$$\int_0^t H(t-s)dF_s^+ \quad = \quad F_s^+ H(t-s)_{s=0}^{s=t} + \int_0^t h(t-s)F_s^+ ds \quad = \quad \int_0^t h(t-s)F_s^+ ds\,.$$

Taking Laplace transforms, the condition $h * f \equiv 1$ becomes $\hat{f}(\lambda)\hat{h}(\lambda) = \frac{1}{\lambda}$, from which we find that

$$h(t) \quad = \quad \frac{\theta^\alpha}{\Gamma(\alpha)}(1 - \frac{\Gamma(-\alpha, t\theta)}{\Gamma(-\alpha)})$$

where $\Gamma(a,z) = \int_z^\infty s^{a-1}e^{-s}ds$ is the incomplete Gamma function, and $h(t) = O(t^{-H-\frac{1}{2}})$ as $t \to 0$.

## 1.3 Signed order flow

Again following [MORS26], we now assume the *signed* order flow for an asset is

$$F_t \quad = \quad F_t^+ - F_t^-$$

where $F_t^- = g(t) + \int_0^t f(t-s)M_s^- ds$ and $(M^-, F^-)$ is an independent copy of $(M, F^+)$. Then we see that

$$\frac{d}{dt}\int_0^t h(t-s)F_s ds \quad = \quad \frac{d}{dt}\int_0^t H(t-s)dF_s \quad = \quad \int_0^t h(t-s)dF_s \quad = \quad M_t - M_t^- \tag{3}$$

since the $g$ terms cancel (and the second equality follows from the Stieltjes-Leibniz rule using the known Hölder continuity of $F^\pm$ and that $|h(u)| \le Cu^{-\alpha}$ so $\int_0^t |h(t-s)|(dF_s^+ - dF_s^-) < \infty$), and for $0 \le t \le u$ we have

$$\mathbb{E}(F_u^+ | \mathcal{F}_t^M) \quad = \quad g(u) + \mathbb{E}(\int_0^u f(u-s)M_s ds\,|\mathcal{F}_t^M) \quad = \quad g(u) + \int_0^t f(u-s)M_s ds + M_t \int_t^u f(u-s)ds$$

(and similarly for $\mathbb{E}(F_u^- | \mathcal{F}_t^{M^-})$), since $(M_t)_{t\ge 0}$ is an $(\mathcal{F}_t^M)_{t\ge 0}$-martingale by Corollary 1.2, so

$$\mathbb{E}(F_u^+ - F_u^- | \mathcal{G}_t) \quad = \quad \int_0^t f(u-s)(M_s - M_s^-)ds + (M_t - M_t^-)\int_t^u f(u-s)ds$$

where $\mathcal{G}_t = \sigma(\mathcal{F}_t^M, \mathcal{F}_t^{M^-})$.

## 1.4 Endogenous price dynamics and the propagator equation

Making the usual assumption (cf.[JR20]) that the asset price $P_t = \kappa \lim_{u\to\infty} \mathbb{E}(F_u | \mathcal{G}_t)$ where $F_t = F_t^+ - F_t^-$ (for some $\kappa > 0$) [2], we find that $f(u-s) \to 0$ as $u \to \infty$ since $\theta > 0$, but $\lim_{u\to\infty}\int_t^u f(u-s)ds = \lim_{u\to\infty}\int_0^{u-t} f(r)dr = \int_0^\infty f(r)dr = \|f\|_{L^1([0,\infty))} = c_{H,\theta}$ where $c_{H,\theta} = \theta^{-\frac{1}{2}-H}\Gamma(\frac{1}{2}+H)$, so

$$P_t \quad = \quad \kappa \lim_{u\to\infty} \mathbb{E}(F_u^+ - F_u^- \,|\mathcal{G}_t) \quad = \quad \kappa c_{H,\theta}(M_t - M_t^-)$$

i.e. $P$ is the difference of two i.i.d. hyper-rough-type Heston models (which effectively both have correlation $\rho = 1$ since $M$ and $M^-$ only have one driving Brownian motion each so the model is pure feedback), and we recover the propagator equation:

$$P_t \quad = \quad \int_0^t G(t-s)dF_s$$

where the price impact kernel $G(t) = \kappa c_{H,\theta} h(t)$, and we define the *unsigned* order flow as $V_t = F_t^+ + F_t^-$.

## 1.5 Power-law price impact

In particular, the *market impact function* of an exogenous metaorder executed at constant trading speed 1 up to time $t_0$ is given by

$$MI(t) \quad = \quad \frac{d}{dt}\int_0^t G(t-s)sds \quad = \quad \kappa c_{H,\theta}\frac{\theta^{-\alpha_-}(t\theta\Gamma(-\alpha) - t\theta\Gamma(-\alpha, t\theta) - \Gamma(\alpha_-) + \Gamma(\alpha_-, t\theta))}{\Gamma(-\alpha)\Gamma(\alpha)}$$

for $0 \le t < t_0$ (where $\alpha_- = \frac{1}{2} - H$) which is $O(t^{\frac{1}{2}-H})$ as $t \to 0$ (for $H \ne \frac{1}{2}$) and globally concave in $t$ for $H \in (-\frac{1}{2}, \frac{1}{2})$, consistent with empirical evidence (note the usual *square-root law* corresponds to $H = 0$ here), and (after cancelling terms) we can show that the asymptotic (i.e. permanent) impact as $t \to \infty$ (given no trading after $t_0$) is

$$MI(\infty) \quad = \quad \kappa t_0$$

[2] note we are assuming $P_0 = 0$ without loss of generality to ease notation, but we can easily add a positive $P_0$ term

(this corresponds to the asymptotic grey line in the plot below).

For the special case $H = \frac{1}{2}$ that we have previously excluded, $h(t) = \theta + \delta(t)$, which corresponds to linear permanent price impact plus temporary price impact; conversely $\lim_{\theta \to 0} h(t) = const. \times t^{-\frac{1}{2}-H}$. Recall from above that $(F_t^+)_{t \geq 0}$ has Hölder regularity $(2\alpha - \varepsilon) \wedge 1$, and empirical evidence in [MORS26] and below suggests that $2\alpha \in (\frac{1}{2}, 1)$ which corresponds to our standing assumption that $H \in (-\frac{1}{4}, 0)$.

## 1.6 Empirical results

Below we have tabulated estimates of $2\alpha$ (i.e. the Hölder exponent of $(F_t)_{t \geq 0}$) using signed order flow for major US tech stocks using the model-independent $\hat{H}^{\pi}_{L,K}(X)$ estimator in Eq 7 in Cont&Das[CD24] which is consistent and allows for irregularly spaced data (with their $L/K = [\sqrt{N}]$, where $N$ is the total sample size). For this we have used the free data at `https://data.lobsterdata.com/info/DataSamples.php`:

| | GOOG | AAPL | MSFT | AMZN | INTC |
|---|---|---|---|---|---|
| $N$ | 49284 | 118326 | 410881 | 57360 | 404496 |
| $2\hat{\alpha} = 2(\hat{H} + \frac{1}{2})$ | 0.692 | 0.720 | 0.847 | 0.735 | 0.890 |
| $\hat{H}$ | -0.154 | -0.140 | -.0767 | -0.133 | -0.0553 |

Note we only use columns 4 and 5 from the lobsterdata.csv files which correspond to actual realized trades.

Try Han-Schied SSE

## 1.7 Controlling liquidity

In the setup above, we have no control over the depth of liquidity, since the kernel $G(t)$ which controls the amount of transient price impact is endogenously determined via the $f$ function in (1). To resolve this inflexibility, we can make the natural assumption that $P_t = \eta \tilde{M}_t + (1 - \eta) \int_0^t G(t - s) dF_s$ for $\eta \in [0, 1]$ where $\tilde{M}_t$ is an additional martingale, so $\eta$ close to 1 implies greater liquidity and vice versa.

## 1.8 Using a mixed kernel

If we augment $f$ to a function of the form $f(t) = e^{-\theta t} t^{H - \frac{1}{2}} + e^{-\theta_2 t} t^{H_2 - \frac{1}{2}}$, then we find that

$$h(t) \quad = \quad \frac{1}{\Gamma(\alpha)} \sum_{n=0}^{\infty} (-c)^n \sum_{k=0}^{\infty} \frac{(\beta n)_k}{k!} \, \delta^k \, \theta^{-(\mu_n + k)} \, \frac{\gamma(\mu_n + k, \theta t)}{\Gamma(\mu_n + k)}$$

where $\beta = \frac{1}{2} + H_2$, $c = \Gamma(\beta)/\Gamma(\alpha)$, $\delta = \theta - \theta_2$, $\mu_n = \beta n - \alpha(n + 1)$, $\gamma(a, z) = \int_0^z s^{a-1} e^{-s} ds$ is the analytic continuation of the lower incomplete Gamma function and $(a)_k$ denotes the Pochhammer symbol. We can then use two (possibly different) $f$ functions to drive $F^{\pm}$, and if $H_2 \in (0, \frac{1}{2})$, $P_t$ will have a conventional (i.e. non-hyper) rough component, which may be more realistic. We can also relax the assumption that $M$ and $M^-$ are independent to give greater control over the skewness of $P_t$.

## 1.9 Tempered Long memory/multiscale behaviour

If we want $(F_t^{\pm})_{t \geq 0}$ to have long memory/multiscale behaviour (as reported empirically in [MORS26]), we can replace $f$ with $f(t) = \frac{1}{\frac{1}{c_1 t^{H - \frac{1}{2}}} + \frac{1}{c_2} t^{\gamma}}$ with $H \in (-\frac{1}{2}, \frac{1}{2})$, $\gamma > 1$ and $c_1, c_2 > 0$ (note $f$ is still in $L^1$), in which case

$$P_t \quad = \quad \kappa \|f\|_{L^1([0,\infty))} (M_t - M_t^-).$$

## 1.10 Bid-ask spreads, exogenous choice of impact kernel, and non-semimartingale price dynamics

We can also include a proportional transaction cost $\varepsilon P_t > 0$ per share bought (i.e. a bid-ask spread). If we then also abandon the (questionable) assumption that $P_t = \kappa \lim_{u \to \infty} \mathbb{E}(F_u^+ - F_u^- \,|\mathcal{G}_t)$, and instead exogenously choose the price impact kernel $G$ and assume that e.g. $P_t = P_0 + \int_0^{t \wedge \tau_\delta} G(t - s) dF_s$ for some deterministic function $G$ where $\tau_0 = \inf\{P_t = \delta\}$ and $P_0 > \delta > 0$ with $\delta \ll 1$; then if $P$ has the conditional full support property, the model is arbitrage-free even if $P$ is not a semimartingale (see e.g. Guasoni et al.[GRS08] for details). Note also that the trading costs due to $G$ are quadratic.

## 1.11 Automated Market Makers

Let $x$ and $y$ denote the amounts two different coins in a liquidity pool. The basic Uniswap v1 protocol imposes that $xy = \kappa^2$ where $\kappa$ is known as the *depth* of the pool, which is constant unless liquidity is added or removed from the pool by liquidity providers (LPs). If an Liquidity taker (LT) sells $\Delta y$ coins to the pool, then the amount of asset $X$ in the pool changes by amount $\frac{\kappa^2}{y} - \frac{\kappa^2}{y+\Delta y}$, and dividing this by $\Delta y$, and letting $\Delta y \to 0$, we see that the rate for an infinitesimal amount of $Y$ is $z = \frac{\kappa^2}{y^2} = \frac{xy}{y^2} = \frac{x}{y}$. We can then assume that the amount of $Y$ coins in the pool at time $t$ is $Y_t = Y_0 + F_t^+ - F_t^-$, so $Z_t = \frac{\kappa^2}{Y_t^2}$. In practice, there are also proportional transaction costs of $\varepsilon = .003$, so as in subsection 1.10, if $Z$ satisfies the conditional full support property, the model is arbitrage-free (note we are not assuming existence of an additional traditional LOB-based exchange like Binance here).

## 1.12 Signed order flow as a persistent Gaussian process

Let $\bar{F}(t) = \int_0^t f(s)ds$ where $f(.)$ is defined as in subsection 1.1 with $H \in (-\frac{1}{2}, 0)$, and we now assume the signed order flow $F$ follows the Gaussian Volterra process:

$$F_t \quad = \quad \int_0^t \bar{F}(t-s)dW_s \quad = \quad \bar{F}(t-s)W_s|_{s=0}^{s=t} + \int_0^t f(t-s)W_s ds \quad = \quad \int_0^t f(t-s)W_s ds$$

where $W$ is a standard Brownian motion. Then $\bar{F}(t) = O(t^{H+\frac{1}{2}}) = O(t^{H+1-\frac{1}{2}})$ as $t \to 0$, i.e. $F$ has Hölder continuity $H + 1 - \varepsilon \in (\frac{1}{2}, 1)$, and

$$\mathbb{E}(F_u|\mathcal{F}_t^W) \quad = \quad \int_0^t f(u-s)W_s ds + W_t \int_t^u f(u-s)ds$$

and $\lim_{u\to\infty} \mathbb{E}(F_u|\mathcal{F}_t^W) = c_{H,\theta}W_t$ and $W_t = \int_0^t h(t-s)dF_s$ (interpreted as a Young integral), so the model is plausible but leads to boring Bachelier dynamics for the price process $P_t$ (it does have the advantage that we can use MLE or GMM methods to estimate $H$ and $\theta$). Or we can replace $W$ with another martingale (e.g. a process with rough volatility).

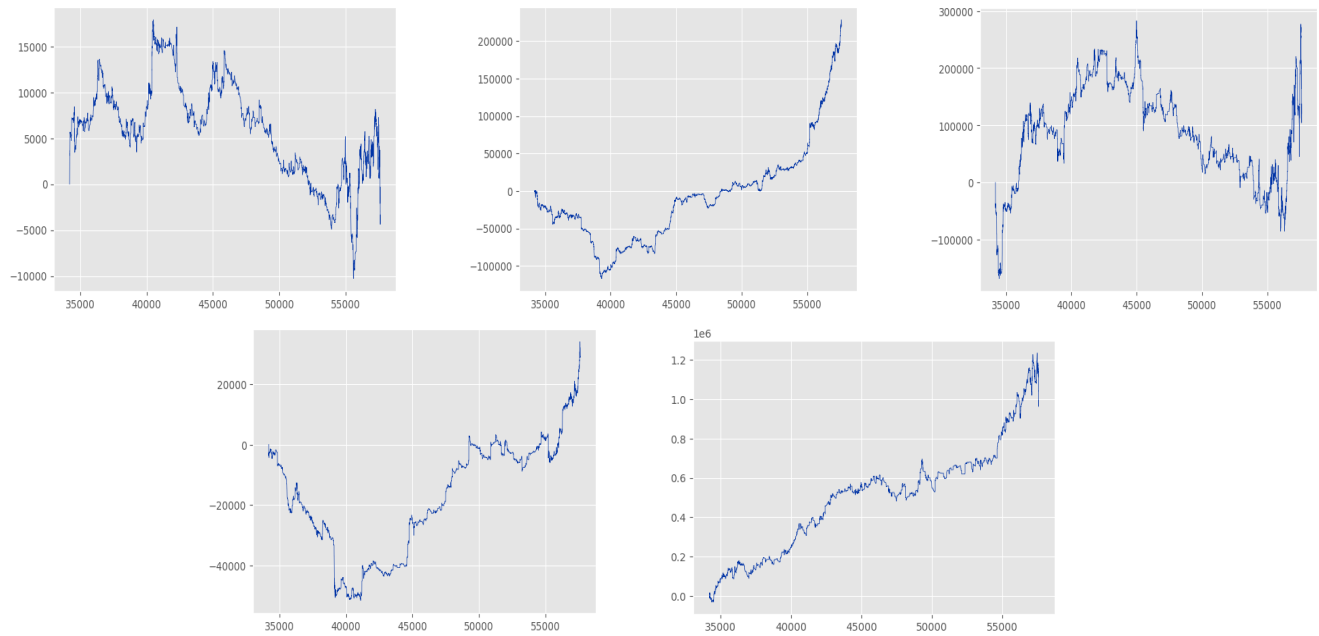


Figure 1: Signed order flow for GOOG, AAPL, MSFT, AMZN and INTC

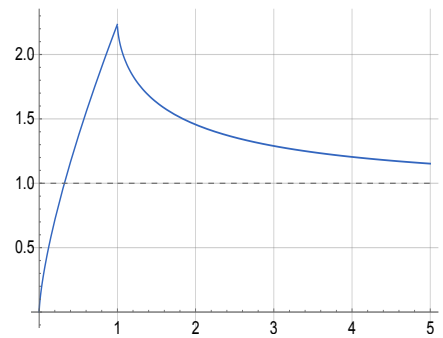

Figure 2: Concave price impact of an exogenous metaorder executed at constant trading speed 1 over $[0, t_0]$ with $H = -0.2$, $\theta = 0.1$, $\kappa = 1$ and $t_0 = 1$. The blue line asymptotes to the constant level $MI(\infty) = \kappa t_0 = 1$ in this case (grey line) as $t \to \infty$ which represents the asymptotic permanent price impact.

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# A Appendix A

By Dambis–Dubins–Schwarz, there exists a Brownian motion $B$ (on a possibly enlarged probability space) such that $M_t = B_{F_t^+}$. Now set $G_t := \sup_{0\le r\le t} |g(r)|$, $K_t := \int_0^t |f(r)|dr > 0$, and for $n \ge 1$, define the level hitting time $\tau_n := \inf\{s \ge 0 : F_s^+ \ge n\}$.

Since $F^+$ is continuous and nondecreasing, on $\{\tau_n \le t\}$ we have $F_{\tau_n}^+ = n$ and $F_r^+ \le n$ for all $0 \le r \le \tau_n$. Fix $n \ge 1$ and work on the event $\{\tau_n \le t\}$. For $0 \le r \le \tau_n$ we have $|B_{F_r^+}| \le \sup_{0\le u\le n} |B_u|$. Setting $s = \tau_n$ and taking absolute values we see that

$$\begin{aligned} n \;=\; g(\tau_n) + \int_0^{\tau_n} f(\tau_n - r)\, B_{F_r^+}\, dr \;&\le\; |g(\tau_n)| + \int_0^{\tau_n} |f(\tau_n - r)|\, |B_{F_r^+}|\, dr \\ &\le\; G_t + (\int_0^{\tau_n} |f(\tau_n - r)|\, dr) \sup_{0\le u\le n} |B_u| \\ &=\; G_t + (\int_0^{\tau_n} |f(s)|\, ds) \sup_{0\le u\le n} |B_u| \;\le\; G_t + K_t \sup_{0\le u\le n} |B_u|. \end{aligned}$$

Hence for $n > G_t$, on $\{\tau_n \le t\}$ we have $\{\sup_{0\le u\le n} |B_u| \ge \frac{n-G_t}{K_t}\}$. Since $F_t^+ \ge n$ iff $\tau_n \le t$, we obtain

$$\mathbb{P}(F_t^+ \ge n) \;\le\; \mathbb{P}(\sup_{0\le u\le n} |B_u| \ge \frac{n - G_t}{K_t}), \qquad n > G_t.$$

By the standard reflection principle bound $\mathbb{P}(\sup_{0\le u\le n} |B_u| \ge a) \le 4\exp(-\frac{a^2}{2n})$, for $a > 0$, so for $n > G_t$,

$$\mathbb{P}(F_t^+ \ge n) \;\le\; 4\exp(-\frac{(n - G_t)^2}{2nK_t^2}).$$

In particular, if $n \ge 4G_t$ then $(n - G_t)^2/n \ge \frac{1}{2}n$, hence

$$\mathbb{P}(F_t^+ \ge n) \;\le\; 4e^{-\frac{n}{4K_t^2}}, \qquad n \ge 4G_t. \tag{A-1}$$

Since $F_t^+ \ge 0$, we also know that $\mathbb{E}(F_t^+) = \int_0^\infty \mathbb{P}(F_t^+ \ge x)\, dx$. Now set $m := \lceil 4G_t \rceil$. Then

$$\mathbb{E}(F_t^+) \;\le\; m + \int_m^\infty \mathbb{P}(F_t^+ \ge x)\, dx \;=\; m + \sum_{n=m}^\infty \int_n^{n+1} \mathbb{P}(F_t^+ \ge x)\, dx \;\le\; m + \sum_{n=m}^\infty \mathbb{P}(F_t^+ \ge n). \tag{A-2}$$

Using (A-1) for all $n \ge m$,

$$\sum_{n=m}^\infty \mathbb{P}(F_t^+ \ge n) \;\le\; \sum_{n=m}^\infty 4\exp(-\frac{n}{4K_t^2}) \;<\; \infty. \tag{A-3}$$

Combining (A-2) and (A-3) yields $\mathbb{E}(F_t^+) < \infty$.

# B Appendix B

By the weak-solution formulation, $M$ is a continuous local martingale and $[M]_t = F_t^+$ for $t \ge 0$. Fix $t \ge 0$, and for $n \ge 1$ define

$$\tau_n := \inf\{s \ge 0 : [M]_s \ge n\}.$$

Then $(M_{s\wedge\tau_n})_{s\ge 0}$ is a continuous square-integrable martingale and (in particular) for every $0 \le s \le t$,

$$\mathbb{E}(M_{t\wedge\tau_n} \mid \mathcal{F}_s^M) = M_{s\wedge\tau_n}. \tag{B-1}$$

Moreover, by the Itô isometry for continuous martingales,

$$\mathbb{E}(M_{t\wedge\tau_n}^2) \;=\; \mathbb{E}([M]_{t\wedge\tau_n}) \;\le\; \mathbb{E}([M]_t) \;=\; \mathbb{E}(F_t^+) \;<\; \infty$$

where the last inequality follows from the previous lemma. Hence $(M_{t\wedge\tau_n})_{n\ge 1}$ is uniformly bounded in $L^2$, and therefore uniformly integrable. Since $[M]_t < \infty$ a.s. for fixed $t$, we have $\tau_n \to \infty$ a.s., and since $M$ is continuous,

$$M_{t\wedge\tau_n} \to M_t, \qquad M_{s\wedge\tau_n} \to M_s$$

a.s. as $n \to \infty$. By uniform integrability, both convergences also hold in $L^1$. Passing to the limit in (B-1) yields

$$\mathbb{E}(M_t|\mathcal{F}_s^M) = M_s, \qquad 0 \le s \le t.$$

Thus $M$ is a martingale. Finally, by Fatou's lemma,

$$\mathbb{E}(M_t^2) \;\le\; \liminf_{n\to\infty} \mathbb{E}(M_{t\wedge\tau_n}^2) \;\le\; \mathbb{E}(F_t^+) \;<\; \infty$$

so $M$ is square-integrable.